

BEFORE

World War II left millions in Europe experiencing renewed hardship as governments faced the task of rebuilding their shattered nations. From 1947, US financial aid helped economic recovery.

POSTWAR REPARATIONS

In the aftermath of World War II, European governments struggled to provide basic necessities for their populations. Initially, Allied nations demanded reparation (compensation) payments from Germany, in the form of coal and other natural resources. German machinery plants and factories were dismantled and transported to Britain, France, and the Soviet Union. France wanted to ensure that Germany could never rearm again and took administrative control of key industrial regions. Germany faced two years of widespread hunger.

THE MARSHALL PLAN

In 1947, US secretary of state **General George Marshall** introduced a plan to address “the dislocation of the entire fabric of the European economy” by proposing massive, long-term financial aid. Concerned that

Communist revolutions in Eastern Europe would soon spread to West Germany and beyond, the ban on German industrial reconstruction was partially withdrawn. Over the next five years, the US poured billions of dollars into rebuilding Western Europe.



GEORGE MARSHALL

Symbol of unity

Twelve gold stars on the blue background of the European flag represent Europe as a whole and the equality of all nations within the union.



United Europe

After two devastating global conflicts, Europe had experienced more suffering than it could bear. In the decades following 1945, Europeans became inspired by a new vision of a united continent, where combined economic and political purpose would make wars between their nations unthinkable.

From 1945, Europeans began to demand reform in domestic government policies; welfare provision, such as free healthcare—an accepted ideal in Sweden by then—became a key feature of legislative changes across much of the continent. Widespread calls for a different approach to foreign relations led to some truly radical changes in political thinking, particularly in Germany and France. Konrad Adenauer, the chancellor of West Germany, skillfully pursued policies of reconciliation with Germany’s European neighbors. In 1950, he sanctioned French political strategist Jean Monnet’s proposal to integrate the French and German coal and steel industries, ensuring that neither country could rearm without the support of the other. Monnet’s strategy, known as the “Schuman Plan,” led to the founding of the European Coal and Steel Community (ECSC) in 1951, which pooled the coal and steel resources of France, Germany, Italy, Belgium, Luxembourg, and the Netherlands. Economic cooperation between these six nations was extended in 1957 with the formation of the European Economic Community (EEC), or Common Market. The EEC allowed free movement of goods, services, and labor between member states and developed mutually beneficial joint agricultural, welfare, and foreign trade policies.

Britain and the EEC

Britain rejected the opportunity to become an EEC founder member. However, the economic growth of the six nations soon outstripped that of the UK and, in 1961, Prime Minister Harold Macmillan began negotiations to join. Throughout the 1960s, Britain and the EEC argued over terms of British membership. Britain finally joined in 1973 when the OAPEC oil crisis (see pp.440–41), had precipitated a period

of stagflation—a combination of spiraling inflation, a slowdown in productivity, and rising unemployment. By the end of the decade, the newly elected British prime minister, Margaret Thatcher, was calling for reductions in EEC controls and a return to a free-market economy.



European Union

German Chancellor Helmut Kohl and French President François Mitterrand after French approval of the Maastricht Treaty in September 1992 moved both men closer to achieving their vision of a united Europe.

European Union

Continental Europe took a different view, seeking to strengthen rather than relax economic cooperation. In 1986, French President François Mitterrand and German Chancellor Helmut Kohl created the

“Single European Act,” establishing a single European market. In 1992, the “Maastricht Treaty” renamed the EEC the European Union (EU) and its powers were increased. By 2007 the EU had 27 member states, representing

VOTING IN THE COUNCIL OF THE EU

Government ministers from each EU member state vote on legislation, budget, and economic policy. The bigger the country’s population, the more votes it has, although there is some weighting to favor less populous countries.

France	29	Bulgaria	10
Germany	29	Sweden	10
Italy	29	Denmark	7
United Kingdom	29	Finland	7
Poland	27	Ireland	7
Spain	27	Lithuania	7
Romania	14	Slovakia	7
Netherlands	13	Cyprus	4
Belgium	12	Estonia	4
Czech Republic	12	Latvia	4
Greece	12	Luxembourg	4
Hungary	12	Slovenia	4
Portugal	12	Malta	3
Austria	10	Total	345

494 million people with a combined GDP of \$14.5 trillion. Beyond economic success, the EU has built on policies of reconciliation and nations have worked together to achieve unprecedented peace and unity in Europe.

“We never want to wage war again against each other... That is the most important reason for a **United Europe.**”

FORMER GERMAN CHANCELLOR HELMUT KOHL, 1 MAY 2004

BRITISH PRIME MINISTER (1925–)

MARGARET THATCHER

Margaret Thatcher served as prime minister of Britain from 1979 until 1990. Her administration followed a disastrous period of recession in Britain, and Thatcher was elected on the promise of tough measures to improve economic performance. Her attitude to the European Union was famously confrontational, but she signed up for the Single European Act of 1986, which formally established the single European market and closer European political cooperation. Always a controversial figure, Thatcher once declared: “There is no such thing as society.” She is remembered by many for bringing radical social and economic change to Britain, but many disliked her for her role in selling off state assets and weakening trade unions.

